

- Do not wait for an ideal price. Just like the stock market, don't try too much to time the real estate market. Get into it as and when you are comfortable.
- Do not expect quick gains. Similar to stock market, you need to spend time in the real estate market. In fact, the real estate cycle has a much wider wave length than the stock market cycle. Liquifying your investment is also not a child's play here. So, be ready to block your money for 10–15 years before you plan to invest in this segment.
- Do not factor in tax gains before hand. There have been many cases of delayed possessions, which makes it impossible to claim tax benefits.
- Opt for term insurance rather than home loan insurance to cover your loan paying back risk.

I fortunately bought some real estate in 2004 which appreciated significantly in the next 7 years. But my recommendation is to delay using this investment tool till the last leg of the financial freedom journey, unless you have prior exposure and are already comfortable in this asset class.

Life Insurance

We understood the need for buying a "term cover" (and only a term cover and nothing else) to protect our wealth from the risks to our own life. Even in getting our life insured via a term cover, there are certain learnings that helped me along my journey. Adopt whatever you can, and ignore the remaining:

- As your wealth grows, you need less of Life Insurance. Reason is simple. With increasing wealth, your family's financial security is less dependent on you and more on the accumulated wealth. Of course, this assumes that your family's monthly expenses do not increase multiple folds during this time. Therefore, it is important to keep assessing your Life Insurance needs from time to time – say after every 3 years.
- Do not just rely on low premiums. Choose plans with maximum term and age coverage